



Periodic Average Costing

Session 1 - Overview

Kaushik Sivakumar

Director, Product Strategy

Srinivasa Raghavan

Product Management Director

Agenda

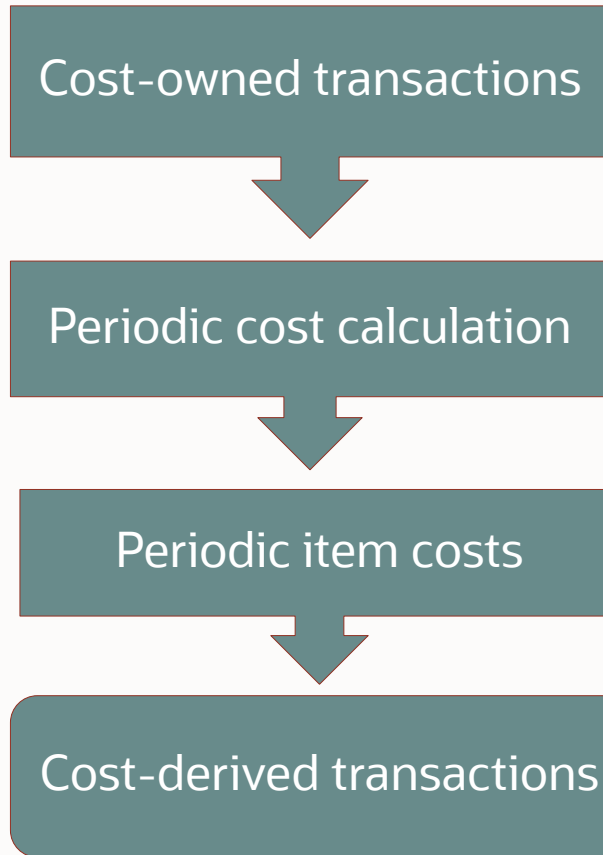
Session 1 (Today, 5/31)

- Periodic Average Costing – Overview
- Setting up Periodic Average Costing
- Comparison of Periodic Average Costing to Perpetual Methods
- Roadmap

Session 2 (6/30/22)

- Transaction Flows and How they Work
- Period-end Processing
- Comparison of Periodic Average Costing to E-Business Suite PAC and PMAC

What is Periodic Average Costing?



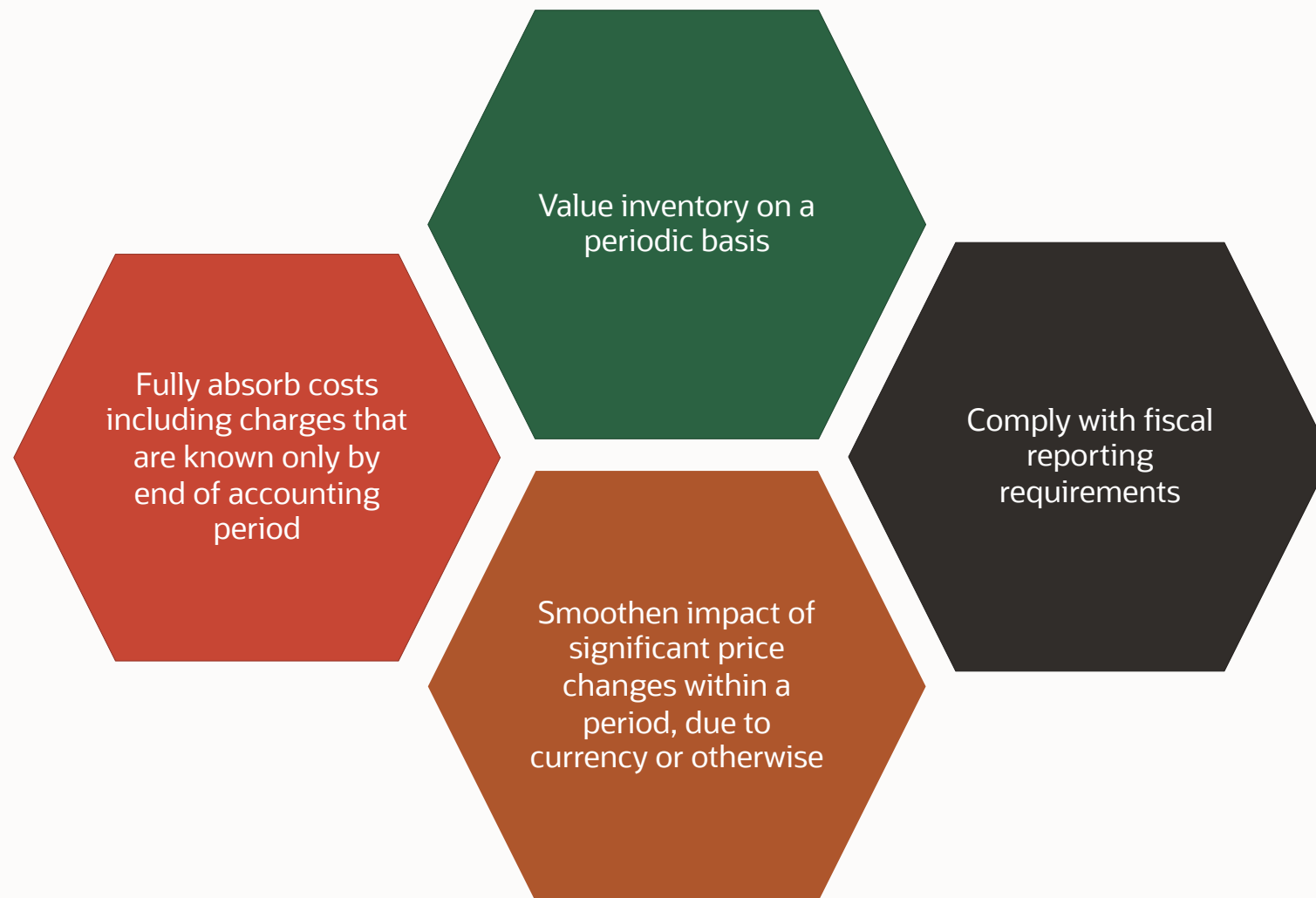
- PO receipts
- Intransit transfers
- WIP completions
- WIP resource transactions

Periodic Average Cost Formula

$$\frac{(\text{Prior Period Cost} * \text{Opening Qty}) + \text{Sum of Current Period (Trx Cost} * \text{Trx Qty)}}{(\text{Opening Qty} + \text{Sum of Current Period Trx Qty})}$$

- Direct transfers within valuation unit
- WIP Issues / returns
- Sales order shipments

Why Periodic Average Costing?



Highlights

Support full absorption costing using periodic moving average



All work methods

Supports Discrete manufacturing, Process manufacturing and Maintenance



Primary or Secondary

Periodic average costing may be used as Primary cost method, secondary method or used in a ledger-less book



Share Costs

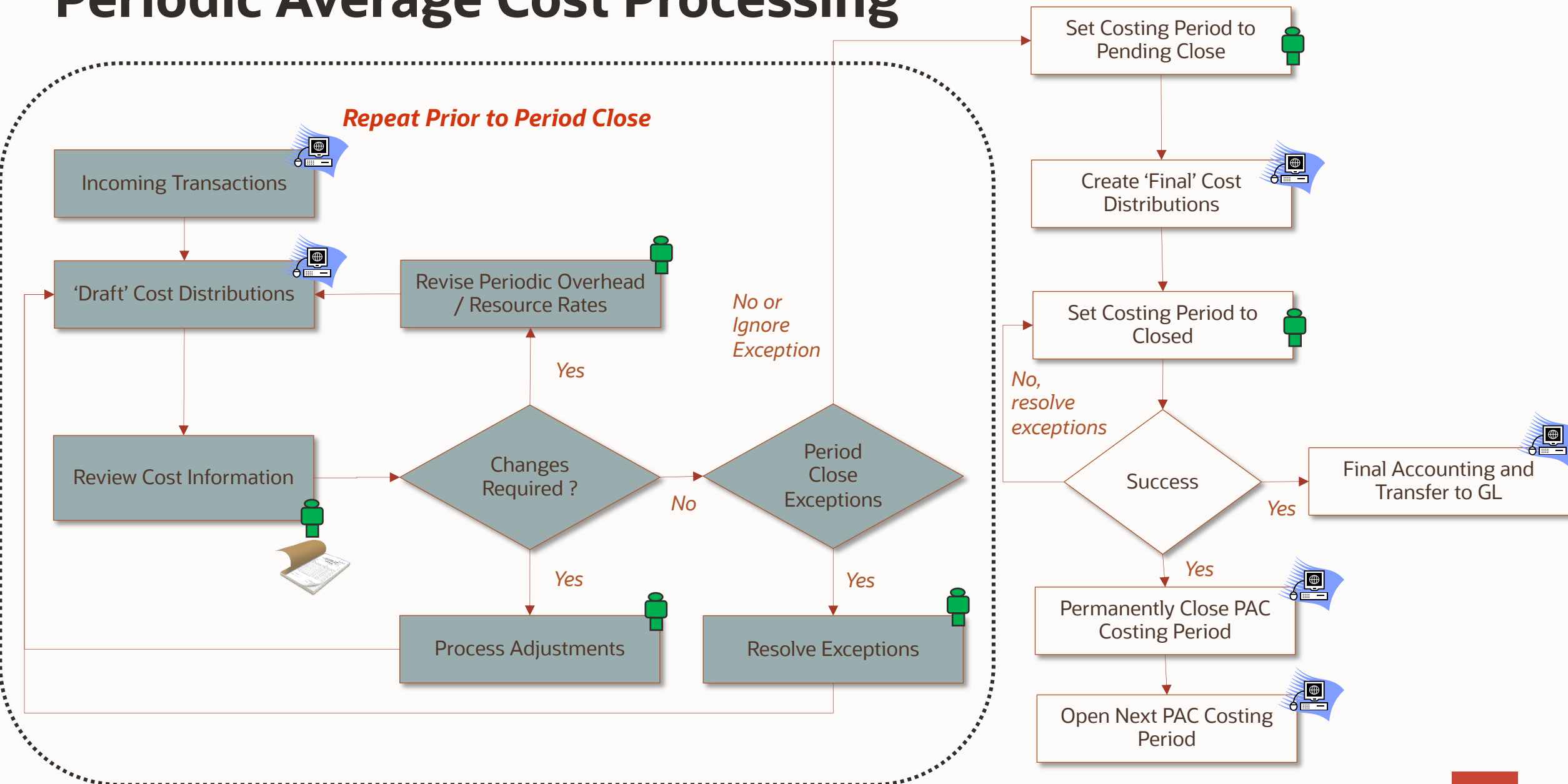
Valuation units at cost org level or inventory org level



Full Absorption

Create overhead and resource rates for the period to fully absorb production costs

Periodic Average Cost Processing



Periodic Average Costing and Perpetual Cost Methods - Compared

	Periodic	Perpetual
Cost sharing	Cost Organization, Cost Org + Inventory Org	Supports all inventory control attributes such as inventory org, subinventory, lot, serial, grade etc
Cost Books	Dedicated cost book for periodic average costing	All cost methods can co-exist in a book
Cost Processing	Rerun as many times as required in period	Always in “Final” mode
Cost based transfers	Use prior period periodic average cost as estimation for transfer cost for cost-based transfers	
Adjustments	- Two types of adjustments - Value adjustments - Opening periodic average cost adjustment - Use the new adjustment UI or REST to create adjustments - Use Receipt Cost Adjustment to modify the cost for cost owned receipts	- Perpetual average adjustment - Layer cost adjustment - Receipt cost adjustment*
Overheads & Resource rates	- Defined effective a period and stays effective till changed - Can be modified anytime during the period	- Defined with an effective date - Once processed, overhead rules cannot be changed
Depletion/Negative Inventory	- Uses inventory control attributes from inventory transaction - No separate quantity tracking - Receipts not tagged to issue transactions for tracking depletions	- Quantity tracked at valuation unit level - Every issue transaction linked to one or more receipts for quantity tracking - Depletions done in FIFO mode
Period close	Concept of a ‘Pending Close’ status to eliminate new transactions in current period	Period end validations not invoked for pending close

Key Setups

Cost Organizations

- *One or more inventory organizations within the same PCBU*
- *PCBU is defined under a legal entity*

Valuation Structure

- *Share costs across inventory orgs within a cost org*
- *Cost per inventory org*

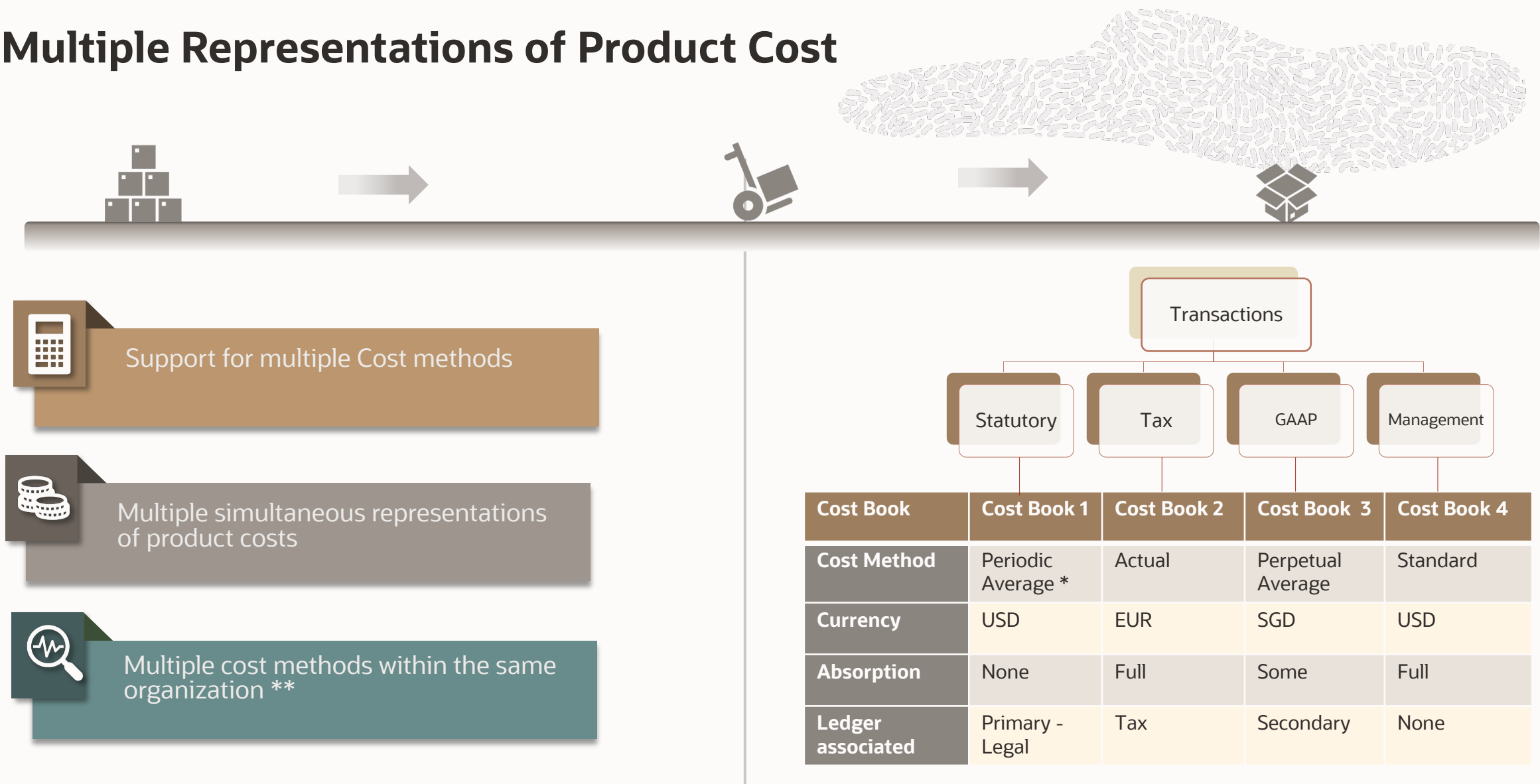
Cost Book

- *Designated as Periodic Average Book*
- *Supports alternate representation of costs*

Cost Profiles

- *Periodic average cost method*
- *Depletions follow inventory*
- *Cost by primary or secondary UOM*

Multiple Representations of Product Cost



** Periodic average costing – all items in a book should be periodic average costed

* Supported from Release 22C



Cost Book

ORACLE

Manage Cost Books ?

Save

Save and Close

Cancel

Search

Cost Book

Starts with

Description

Starts with

Search

Reset

Save...

Add Fields

Reorder

Saved Search

All Cost Books

Search Results

Actions

View

Format

+

×

Detach

Wrap

	* Cost Book	Description	Periodic Average Cost	Additional Information zBIACstBookDFF	Attachments
	01082292049-ZDQ-Std	01082292049-ZDQ-Std	—		None +
	1015-CB	1015-CB	✓		None +
	1015-SL-CB	1015-SL-CB	✓		None +
	1101-CB	1101-CB	✓		None +
	1Act-Sub-InVuN-EnfN	1Act-Sub-InVuN-EnfN	—		None +
	202-CB-0109220420	202-CB-0109220420	✓		None +



Cost Organization – Cost Book

Manage Accounting Cost Organization Relationships ?

Search Results: Cost Organizations

Actions View Format + X Freeze Detach Wrap

* Cost Organization

PAC Demo Cost Org

Columns Hidden 2

PAC Demo Cost Org: Relationships

Set Assignments Inventory Organizations Cost Books

Actions View Format + X Freeze Detach Wrap

Cost Book	Ledger	Primary Book
PACDEMO-PB	Vision Operations (USA)	✓
PACDEMO-LL1		

Columns Hidden 1

PACDEMO-PB: Period End Validations ?

View Format Freeze Detach Wrap

Validation Type
Completed work orders not closed
Pending accounting event creation
Pending revenue recognition events import
Pending Interface
Pending accounting overhead rates absorption

PACDEMO-PB: Edit Cost Book Association

Cost Book PACDEMO-PB

✓ Periodic Average Cost

Ledger Vision Operations (USA)

✓ Primary Book

Conversion Rate Type Corporate

Constant Dollar Reporting Rate Type Corporate

US Dollar Reporting Rate Type Corporate

Currency USD

Accounting Calendar AccountingMon1

Effective Start Date 11/1/21

First Opened Period Nov 21

Maximum Open Periods 1

✓ Create Accounting

Effective End Date m/d/yy

Additional Information

Period End Validations

	Validation Type	Period Pending Close	Period Close	Final Period Close	Action
▶	Pending preprocessing	✓	✓	✓	Error
▶	Pending preprocessing of trade events	✓	✓	✓	Error
▶	Pending preprocessing of manufacturing transac...	✓	✓	✓	Error
▶	Pending create accounting in final mode	—	—	✓	Error
▶	Pending processing of trade events	✓	✓	✓	Error

OK Cancel



Shared Cost across Inventory Organizations

Shared Cost across Inventory Orgs



Separate Costs for each Inventory Org



- Group inventory organizations, and assign cost policies and application defaults that commonly apply to the Cost Org-Book
- Cost organizations can optionally be configured to share product costs across associated inventory orgs

Valuation Structure

Search Results

ActionsViewFormat+✎✕FreezeDetachWrap

Valuation Structure Code	Valuation Structure Set	Valuation Structure Type	Description	Valuation Structure Mode	Flexfield Structure	Attachments
ZCST-Inv-Org-Asset	Common Set	Asset	Asset Valuation Structure - Inventory Org	Both auto and manual	Cost Org - Inventory Org	None

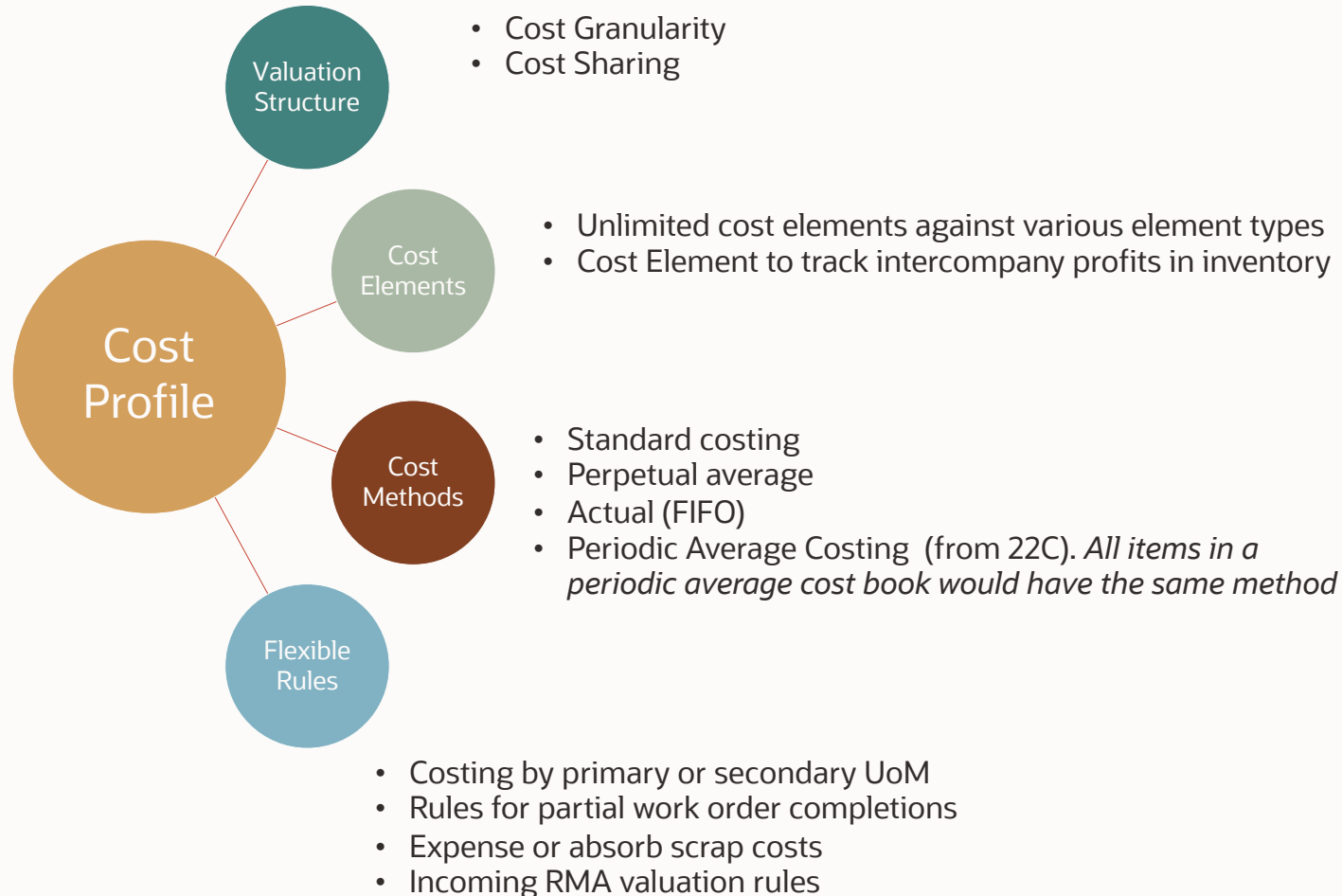
ZCST-Inv-Org-Asset: Costing Attributes

ViewFormatFreezeDetachWrap

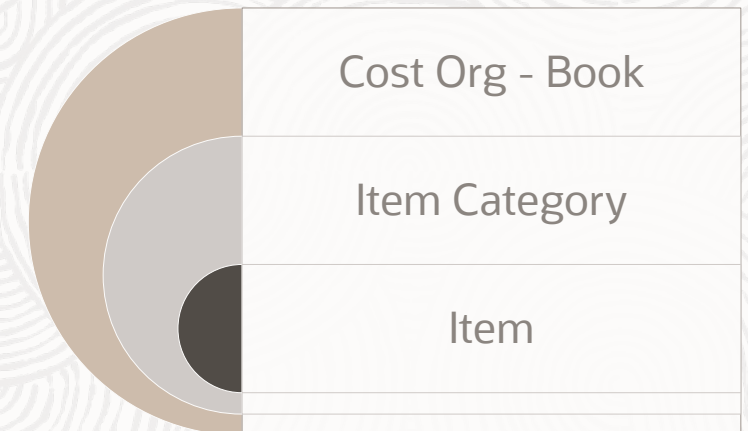
Sequence	Costing Attribute	Required
1	Cost organization	Yes
2	Inventory organization	Yes



Flexible Cost Policies



Cost Profile Defaulting setup



Periodic Overhead Rates

- Estimate and define periodic overhead rates
- Revise the overhead rates anytime during the month
- Freeze overheads rates upon period close
- Overhead rates can apply for more than one period
- Get insights into absorption with embedded reports
- Mass edit overhead rates with REST services
- REST services can be invoked from a spreadsheet using the VBCS excel plug-in

Manage Accounting Overhead Rules ?

Save Save and Close Cancel

Accounting Overhead Rules Standard Cost Overhead Absorption Rules

Advanced Search

Basic Saved Search All Overhead Accounting Rules

Search Results

Actions View Format + X Freeze Detach Wrap

Rule					Set Conditions				Set Actions			
* Rule Name	* Cost Organization	* Cost Book	* Expense Pool	* Cost Element	* Transaction Group	Transaction Type	* Transaction Flow	Inventory Organization	Category Name	Item	* Cost Basis	Based On
INSP-OH-Rule1	INSP-OH-CO1	INSP-OH-CB1	OSP-EP	OSPREsOHEle...	Inventory transa...	Miscellaneous ...	Receipt				Unit	Ir

Columns Frozen 5

Rule Revisions

Actions View + X Detach

* Revision Number	* From Period	To Period	Start Date	End Date	* Rate	From Period Status
1	Oct-21		10/1/21		10.00000	Open

Overhead Absorption Principles

Transaction Flows	Cost Owned / Cost Derived	Overhead Absorption
Transfers within VU	Cost derived	Only Expense
Transfers across VU – receipts	Cost owned	Inventory and Expense
Transfers across VU – issues	Cost derived	Only Expense
WIP material transactions	Cost owned	WIP and Expense
WIP completion transactions	Cost owned	Inventory and Expense
Trade Events	NA	Only Expense
Inventory transactions with cost	Cost owned	Inventory and Expense
Inventory transactions without cost	Cost derived	Only Expense
Sales order issues	Cost derived	Only Expense
RMA treated as cost owned	Cost owned	Inventory and Expense
Unreferenced RMA using current cost	Cost derived	Only Expense
Purchasing transactions	Cost owned	Inventory and Expense

Periodic Resource Rates

- Estimate and define periodic resource rates
- Revise the rates anytime during the month
- Freeze rates upon period close
- Resource rates can apply for more than one period
- Get insights into absorption with embedded reports
- Mass edit resource rates with FBDI

Overview

Manage Resource Rates ✕

Manage Resource Rates ⓘ

Manage in Spreadsheet

Done

Search

BasicSaved SearchApplication Default

** Scenario

Equals

** Cost Organization

Equals

** Cost Book

Equals

** Plant

Equals

** Resource

Equals

02C100

Resource Type

Equals

Currency Name

Equals

UOM

Equals

Effective Start Date

On or after

m/d/yy

Status

Equals

Search

Reset

Save...

Add Fields

Reorder

Search Results

View + - ⌵ ⌶ ⌷ ⌸ Clear ⌵ ⌶ ⌷ ⌸ Detach ⌵ ⌶ ⌷ ⌸ Perform Mass Edit

Scenario	Cost Organization	Cost Book	Plant	Resource	Resource Type	Total Rate	UOM	Effective Start Period	Effective Start Date	Effective End Date	Status	Last Used Date	Creation Date	Last Update Date	Attachments
CDRM-CTO-Comp-...	ZCST-Seattle	Standard	Seattle Manufacturing	02C100	Labor	100.00000	USD HRS	Dec-2019	12/6/19		In process		11/22/21	11/22/21	None

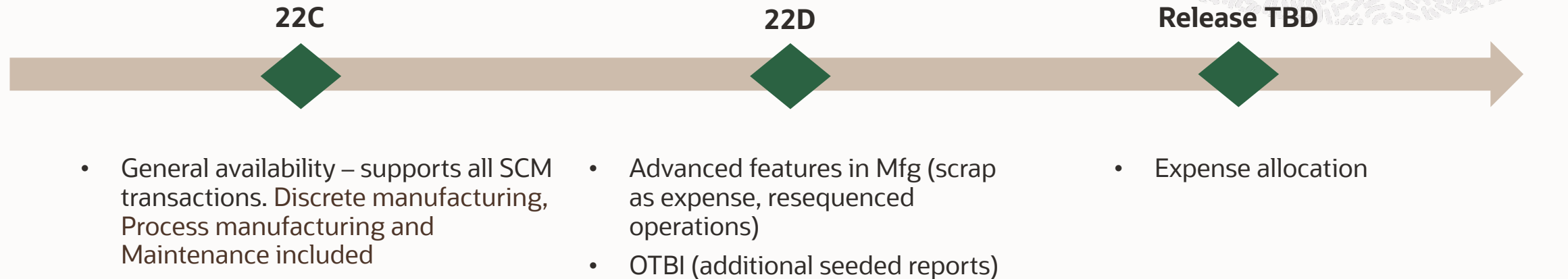
CDRM-CTO-Comp-Costs: Details

View ⌵ ⌶ ⌷ ⌸ Detach

Cost Element	Cost Element Type	Expense Pool	Rate (USD)
0554ResElement	Resource	0554EP1	100.00000
Total Rate			100.00000



Roadmap – Periodic Average Costing



General Availability in 22C

- Permanent opt-in
- New customers can adopt the solution as is
- Customers transitioning from a non-PAC primary method, can work with PD to make the switch

Not doing –

- Expense allocation (plan as part of the larger cost to serve / cost planning initiative). Partner play until then
- Iterative PAC for cost-based transfers. Determine if required based on customer feedback
- OPM's Period Weighted Average Cost (PWAC)
- OPM's Perpetual Weighted Average Cost (PPAC)
- OPM's last transaction cost (LSTI, LSTT)



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